AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B326

Advanced Financial Accounting

Mid-term Examination – VD
Summer Semester 2024-2025

12-Aug-2025

Number of Pages: 3 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
This is a **CLOSED** book examination. NO documents of any kind are allowed.
You **MUST** answer the questions using only the answer booklets provided.
You **MUST** return the examination paper together with your answer booklets.
Do **NOT** write your answers in pencil except graphs/sketches.
Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
Students are allowed to use ***non-programmable*** calculators only (if needed).
Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (20 marks)

A- Explain what is meant by contingent consideration in an acquisition, and explain the two forms under which contingent consideration can be classified. (10 marks)

B- Sporting had net assets consisting of the following:

	Book Value	Fair Value
Cash	$120,000	$120,000
Inventory	720,000	760,000
Building and Fixtures	300,000	240,000
Liabilities	205,000	195,000

Packed Corporation purchased Sporting, and immediately dissolved Sporting as a separate legal entity.

Required:
If Sporting was purchased for 100,000 shares of Packed Corporation with each share carrying a $5 par value and $11 market value, prepare the journal entries to record the business combination on the books of Packed. (10 marks)

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Question 2 (42 Marks)

In January 1, 2022, Parent Company has acquired 75% of Subsidiary for $975,000. On the date of the acquisition the subsidiary had retained earnings $291,000 and a capital of $827,000.

- Separate balance sheets as of 1 January 2022 for Parent and its Subsidiary are as follows:

Description	Parent	Subsidiary	
		Book value	Fair value
Cash	22,500	135,500	135,500
Receivable	30,000	70,000	70,000
Land	390,000	200,000	250,000
Property	750,000	750,000	801,000
Investment in Subsidiary	975,000	-	
Total asset	**2,167,500**	**1,155,500**	
Account payable	12,500	30,000	27,500
Other liabilities	62,500	7,500	8,000
Capital stock	1,900,000	827,000	
Retained earnings	192,500	291,000	
Total equity and liabilities	**2,167,500**	**1,155,500**	

Required:

1- Prepare the required elimination entries as of January 1, 2022. *Show all required computations*.
2- Prepare a consolidated balance sheet for Parent and Subsidiary as of January 1, 2022.
3- Calculate the Investment amount of the parent and Non-controlling interest in the subsidiary as of December 31, 2022 assuming that during 2022, the subsidiary has distributed $4,000 of cash dividends and has a net income of $20,000.

Question 3 (38 Marks)

On January 1, 2022, Prego Corporation acquired 70% of Sky's company for $700,000, when Subsidiary equity consists of $500,000 capital stock and $300,000 retained earnings. In time of acquisition, Inventory was undervalued by $150,000 (sold in 2022) Furniture was overvalued by $100,000 (has a useful life of 5 years). Any other difference between book and fair value will be assigned to goodwill. Subsidiary had net income of 300,000 and distributed dividends of $110,000. There is intercompany transaction during 2022 which was 17,000 non-interest bearing loan.

Required: Using Equity Method

Prepare the elimination entries required for consolidation on December 31, 2022. *Show all required computations*. State which items have been amortized and which have not, and why.

[End of Questions]

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